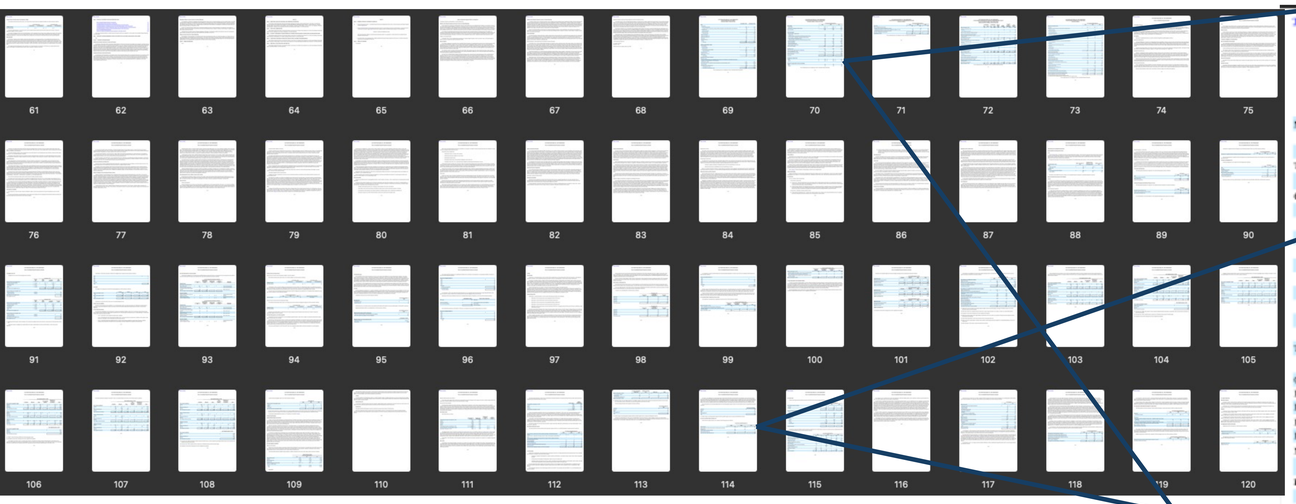

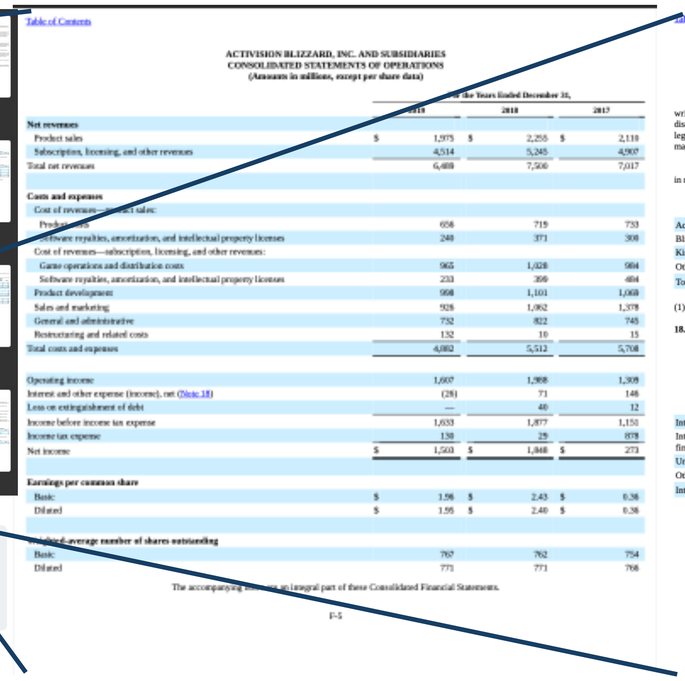

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ACTIVISION BLIZZARD, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF OPERATIONS
(Amounts in millions, except per share data)

	For the Years Ended December 31,		
	2019	2018	2017
Net revenues			
Product sales	$ 1,975	$ 2,255	$ 2,110
Subscription, licensing, and other revenues	4,514	5,245	4,907
Total net revenues	6,488	7,500	7,017
Costs and expenses			
Cost of revenues—product sales:			
Product costs	656	719	733
Software royalties, amortization, and intellectual property licenses	248	371	308
Cost of revenues—subscription, licensing, and other revenues:			
Game operations and distribution costs	965	1,028	984
Software royalties, amortization, and intellectual property licenses	233	366	484
Product development	968	1,101	1,068
Sales and marketing	928	1,082	1,378
General and administrative	752	822	748
Restructuring and related costs	132	10	15
Total costs and expenses	4,882	5,512	5,708
Operating income	1,607	1,988	1,309
Interest and other expense (income), net (Note 18)	(28)	71	148
Loss on extinguishment of debt	—	40	12
Income before income tax expense	1,633	1,877	1,151
Income tax expense	130	29	878
Net income	$ 1,503	$ 1,848	$ 273
Earnings per common share			
Basic	$ 1.96	$ 2.43	$ 0.38
Diluted	$ 1.95	$ 2.40	$ 0.38
Weighted-average number of shares outstanding			
Basic	767	762	754
Diluted	771	771	768

The accompanying notes are an integral part of these Consolidated Financial Statements.

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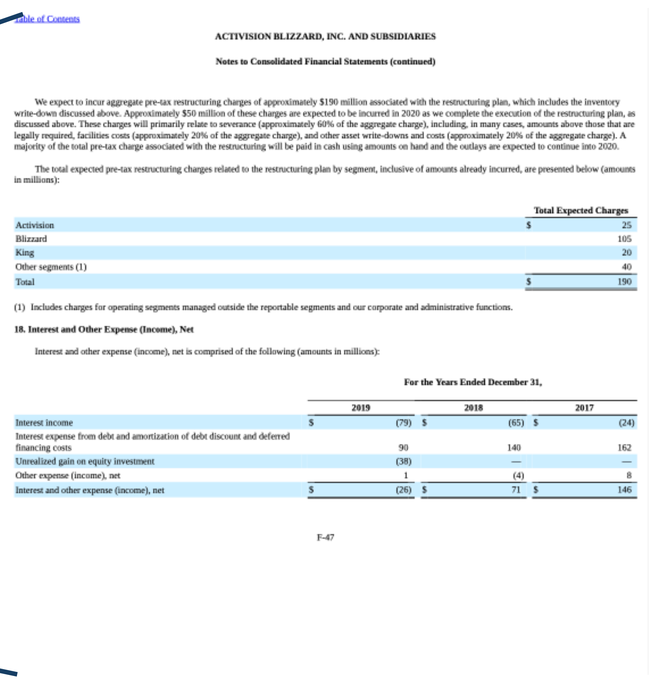

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ACTIVISION BLIZZARD, INC. AND SUBSIDIARIES

Notes to Consolidated Financial Statements (continued)

We expect to incur aggregate pre-tax restructuring charges of approximately $190 million associated with the restructuring plan, which includes the inventory write-down discussed above. Approximately $50 million of these charges are expected to be incurred in 2020 as we complete the execution of the restructuring plan, as discussed above. These charges will primarily relate to severance (approximately 60% of the aggregate charge), including, in many cases, amounts above those that are legally required, facilities costs (approximately 20% of the aggregate charge), and other asset write-downs and costs (approximately 20% of the aggregate charge). A majority of the total pre-tax charge associated with the restructuring will be paid in cash using amounts on hand and the outlays are expected to continue into 2020.

The total expected pre-tax restructuring charges related to the restructuring plan by segment, inclusive of amounts already incurred, are presented below (amounts in millions):

	Total Expected Charges
Activision	$ 25
Blizzard	105
King	20
Other segments (1)	40
Total	$ 190

(1) Includes charges for operating segments managed outside the reportable segments and our corporate and administrative functions.

18. Interest and Other Expense (Income), Net

Interest and other expense (income), net is comprised of the following (amounts in millions):

	For the Years Ended December 31,		
	2019	2018	2017
Interest income	$ (79)	$ (65)	$ (24)
Interest expense from debt and amortization of debt discount and deferred financing costs	99	140	162
Unrealized gain on equity investment	(38)	—	—
Other expense (income), net	1	(4)	8
Interest and other expense (income), net	$ (26)	$ 71	$ 146

F-47

Question: What is Interest Coverage Ratio for Activsion Blizzard In F2019?
Reference Answer: 17.85

GPT-4o ✅

Answer: Interest Coverage Ratio (ICR) for Activision Blizzard in Fiscal Year 2019 can be calculated using the formula:
Interest Coverage Ratio = Earnings Before Interest and Taxes (EBIT) / Interest Expense
From the provided financial statements for the year ended December 31, 2019:
- Operating Income (EBIT) = $1,607 million
- Interest Expense = $90 million (from Interest and other expense (income), net)
Thus, the Interest Coverage Ratio is:
ICR = 1607/90 ~17.86
This means that Activision Blizzard earned about 17.86 times its interest expenses before taxes and interest charges in 2019.

GPT-4V ✅

Answer: Interest Coverage Ratio (ICR) is calculated by dividing a company's earnings before interest and taxes (EBIT) by its interest expense.
From the provided document, we can find the necessary figures for Activision Blizzard for the fiscal year 2019:
1. **Operating Income (EBIT)**: $1,607 million (from the Consolidated Statements of Operations)
2. **Interest Expense**: $90 million (from the Interest and Other Expense (Income), Net section)
Using these figures, the Interest Coverage Ratio is calculated as follows:
Interest Coverage Ratio = EBIT/Interest Expense = 1,607/90 ~ 17.86 Therefore, the Interest Coverage Ratio for Activision Blizzard in fiscal year 2019 is approximately 17.86.

OCR + Mixtral-8x22B ❌

Answer: The Interest Coverage Ratio for Activision Blizzard in F2019 is not explicitly stated in the provided document. However, it can be calculated using the information provided in the document. The Interest Coverage Ratio is calculated by dividing Earnings Before Interest and Taxes (EBIT) by Interest Expense. According to the document, Activision Blizzard had an EBIT of $1,633 million and an Interest Expense of $28 million in F2019. Therefore, the Interest Coverage Ratio for Activision Blizzard in F2019 is approximately 58.32.

Gemini-1.5-Pro ❌

Answer: The provided document is the 2019 10-K report for Activision Blizzard, but it does not contain the specific term "Interest Coverage Ratio". To calculate this ratio, you need both the company's earnings before interest and taxes (EBIT) and its interest expense.
You can find the following information within the document to calculate the Interest Coverage Ratio:
* **Operating income:** Page 47 (Consolidated Statements of Operations Data)
* **Interest expense (income), net:** Page 47 (Consolidated Statements of Operations Data)
Please note:
* You will need to use the provided figures to calculate the Interest Coverage Ratio using the formula: **Interest Coverage Ratio = EBIT / Interest expense**.
* The document may refer to the components of the ratio using slightly different terminology.
Once you have located the relevant figures, you can calculate the Interest Coverage Ratio for Activision Blizzard in F2019.

InternVL-v1.5 ❌

Answer: The Interest Coverage Ratio for Activision Blizzard in F2019 is 1.9.

OCR + GPT-4 ❌

Answer: The Interest Coverage Ratio for Activision Blizzard in Fiscal Year 2019 is not explicitly stated in the provided text. To calculate the Interest Coverage Ratio, you would typically use the formula:
Interest Coverage Ratio = EBIT / Interest Expense
Where:
- EBIT (Earnings Before Interest and Taxes) is typically operating income or earnings before the deduction of interest and tax expenses.
- Interest Expense is the cost incurred by an entity for borrowed funds.
From the provided text, specific figures for EBIT and Interest Expense for Activision Blizzard in Fiscal Year 2019 are needed to calculate the Interest Coverage Ratio, and these figures are not provided in the text excerpts. Therefore, it is not possible to calculate the Interest Coverage Ratio without additional financial data from the company's financial statements or reports.